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Characteristics

A company as an entity has many distinct features which together make it a unique organization. The essential characteristics of a company are as follows:

i. Separate Legal Entity

Under Incorporation a company becomes a separate legal entity as compared to its members. The company is distinct and different from its members. It has its own seal and its own name, its assets and liabilities are separate and distinct from those of its members. It is capable of owning property, incurring debt, and borrowing money, employing people, having a bank account, entering into contracts and suing and being sued separately. In short, it is considered as an artificial person created by law.

ii. Limited Liability

The liability of the members of the company is limited to contribution to the assets of the company upto the face value of shares held by him. A member is liable to pay only the uncalled money due on shares held by him. If the assets of the company are not sufficient to pay liabilities, the personal properties of the shareholders are not held responsible.

iii. Perpetual Succession

A company does not cease to exist unless it is specifically wound up or the task for which it was formed has been completed. Membership of a company may keep on changing from time to time but that does not affect life of the company. A company is created by law and it can be windup only through legal process.



Formation of a Company



Highlights of Companies Act, 2013

- The Act, of 2013 has 470 sections as against 658 Sections in the Companies Act, 1956
- The entire Act has been divided into 29 chapters.
- Many new chapters have been introduced such as Registered Valuers (ch.17); Government companies (ch. 23); Companies to furnish information or statistics (ch. 25); Nidhis (ch. 26); National Company Law Tribunal & Appellate Tribunal (ch. 27); Special Courts (ch. 28).
- The Act is forward looking in its approach which empowers the Central Government to make rules,etc. through delegated legislation (section 469 and others).
- The Companies Act, 2013 is the result of detailed consultative process adopted by the Government